Tencent Holdings

0700.HK | Hong Kong ordinary shares | Full deep dive | 30 September 2026

Framework 8.0
BENEFICIARY / below the framework threshold (Fail band)

Decision variable	Current model
Analytical Base	62 / 100, derived from 37 / 60
Active ceiling quarter	Q3 2027; operating window Q3 2027-Q2 2028
Active ceiling	HK$ 766.45 per ordinary share
Control without incremental branches	HK$ 772.73; same reference, method, shares and FX
Valuation convention	20x forward-four-quarter IFRS-derived operating profit
Costs retained	SBC, acquired amortization, depreciation and all AI operating costs
Quote snapshot only	HK$ 431.00; September 30, 2026, 16:08 HKT
Market capitalization snapshot	Approximately HK$ 3.88 trillion; quote-provider basis
Latest financial anchor	Q2 2026 / June 30; released August 12, interim report August 25

The thesis

Tencent can monetize AI through an existing advertising platform before new agents become a large standalone profit source. Its social distribution, merchant network and game franchises support durable cash generation. The difficult part is earning a return on a much larger AI investment while consumption, competition and capital demands remain material.

What the model says

Further ad-yield improvement receives a 55% probability; incremental paid PC-agent conversion receives 35%; additional AI cost pressure receives 30%. The expected extra cost outweighs the two bounded favorable contributions at the active horizon. The strong ceiling does not erase a Base below 65 or the uncertainty in later earnings.

All forecast amounts are analytical assumptions, not issuer guidance. Financial tables use RMB millions; share counts use millions of ordinary shares; ceilings use HKD per ordinary share. Current share price is context only and does not enter the operating model. [F1-F3,S7,S8]

The business: distribution and monetization

A social-platform moat inside a diversified technology company

Tencent connects communication, content, discovery, transactions and enterprise work. It earns gaming and subscription revenue, sells advertising, operates payments and financial services, and provides cloud and business software. These activities share distribution and data advantages, but their accounting, growth and margins differ.

Economic engine	Customer payment	Main operating driver
Domestic and international games	In-game purchases, subscriptions and other game services	Franchise retention, new releases, bookings and recognition timing
Social networks	Content, music/video and related services	Paid membership, content value and platform distribution
Marketing services	Advertiser budgets	Impressions, ad load, conversion and realized price per impression
FinTech and Business Services	Payments, lending/wealth, cloud and enterprise services	Payment activity, product mix, capacity and realization
New AI products	Subscriptions, hosted inference and ecosystem activity	Paid conversion and useful work relative to serving, training and acquisition costs

Why the ecosystem matters

Weixin/WeChat's 1.439bn combined monthly users at June 30 create reach, social context and merchant distribution. Mini Programs and Mini Shops can connect an ad to a transaction without losing the user to a different app. Developers and merchants increase utility, and that utility supports user retention. [F1-F3]

Why reach is not the revenue model

The 1.439bn population is not a pool of paid AI subscribers. Mini Games ecosystem spending is not all Tencent net sales. WorkBuddy and CodeBuddy share subscription credits. This artifact therefore separates six revenue vectors and prices only distinct incremental outcomes. Tencent is a diversified beneficiary with network effects, not a sole-source physical chokepoint.

ByteDance competes for attention and AI workflows; Alibaba for commerce and cloud; NetEase and global publishers for players; Huawei and other clouds for enterprise workloads. A strong distribution position reduces acquisition friction, but it does not remove substitution or execution risk.

The last two calls: acceleration with boundaries

May 13 and August 12, 2026 | Management commentary, with original filing cross-checks

Topic	Q1 / May call	Q2 / August call
Advertising	Video Accounts ad load around 4-5%; engagement matters	22% growth includes about 2 percentage points from in-app-ad games; do not straight-line it
Cloud demand	High-teens growth; internal AI had compute priority	Low-20s growth; May price increases and lower discounts already contribute
Capacity	Domestic compute supply expected to improve in H2	More external GPU/MaaS supply toward late 2026 and 2027
WorkBuddy economics	Adoption focus; no ARR target	Subscription receipts arrive before recognized cloud revenue
AI spending	About RMB 8.8bn new-product profit drag	About RMB 10.5bn; resources shifted toward stronger products
Capital allocation	Compute investment and shareholder returns coexist	Higher-return compute could reduce future repurchases
Profitability timing	No precise consolidated forward-profit guidance	No fixed date when AI-inclusive growth overtakes ex-AI growth

Official replay links are F10/F11. Full call text was read through T1/T2 public transcript mirrors; those are not issuer-reviewed transcripts. Reported amounts are checked against the original reports and slides. The Q1 mirror's unusual-SBC wording and Q2 token-growth transcription are not used where the issuer exhibits differ.

A useful paid-product clue

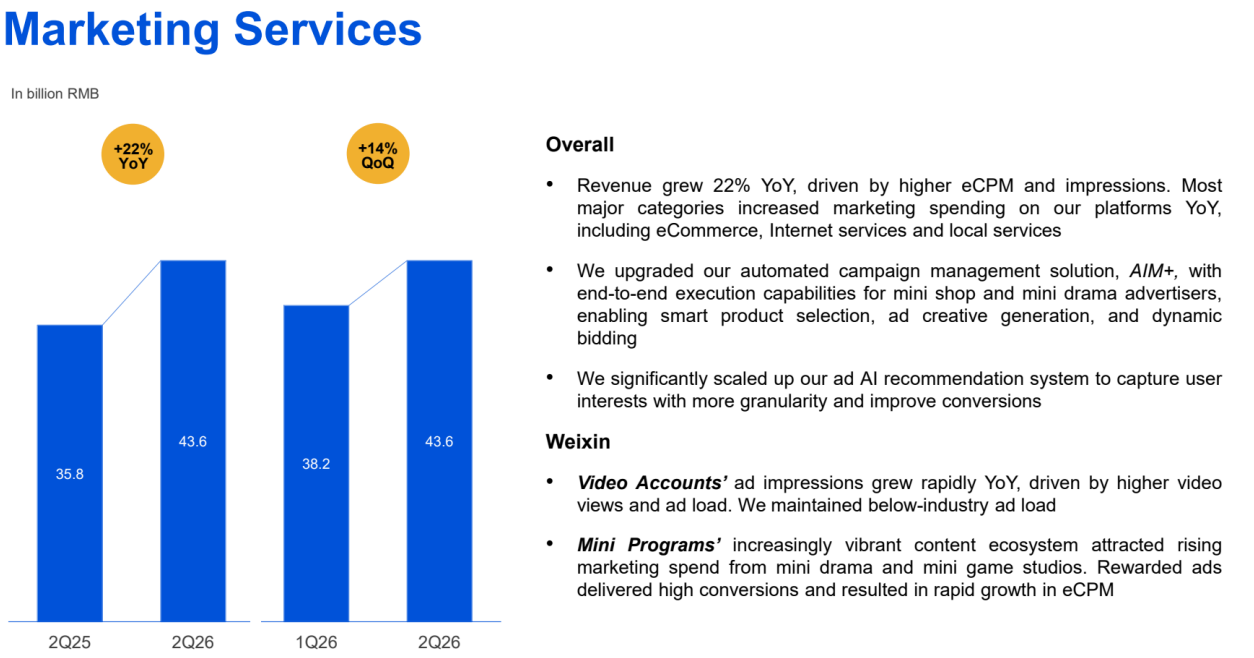
Management says paying WorkBuddy and MaaS users generate gross margins comparable to Tencent Cloud, while free users reduce aggregate margins. It supplies neither an exact gross margin nor paid conversion. This supports a bounded paid-user branch, with serving cost and existing AI spending retained. [T1,F3]

A constraint on revenue timing

Cash receipts are not immediate recognized sales. Subscription recognition and available external compute both matter. The model includes a timing ramp and does not turn a GPU resale anecdote, a capex commitment or a token-usage headline into company revenue.

Advertising: AI monetizes an existing asset

Reported execution supports an incremental yield hypothesis



Issuer exhibit 1. Tencent Q2 2026 presentation, page 19, August 12. Marketing revenue grew with both eCPM and impressions; existing growth belongs in the reference. [F3]

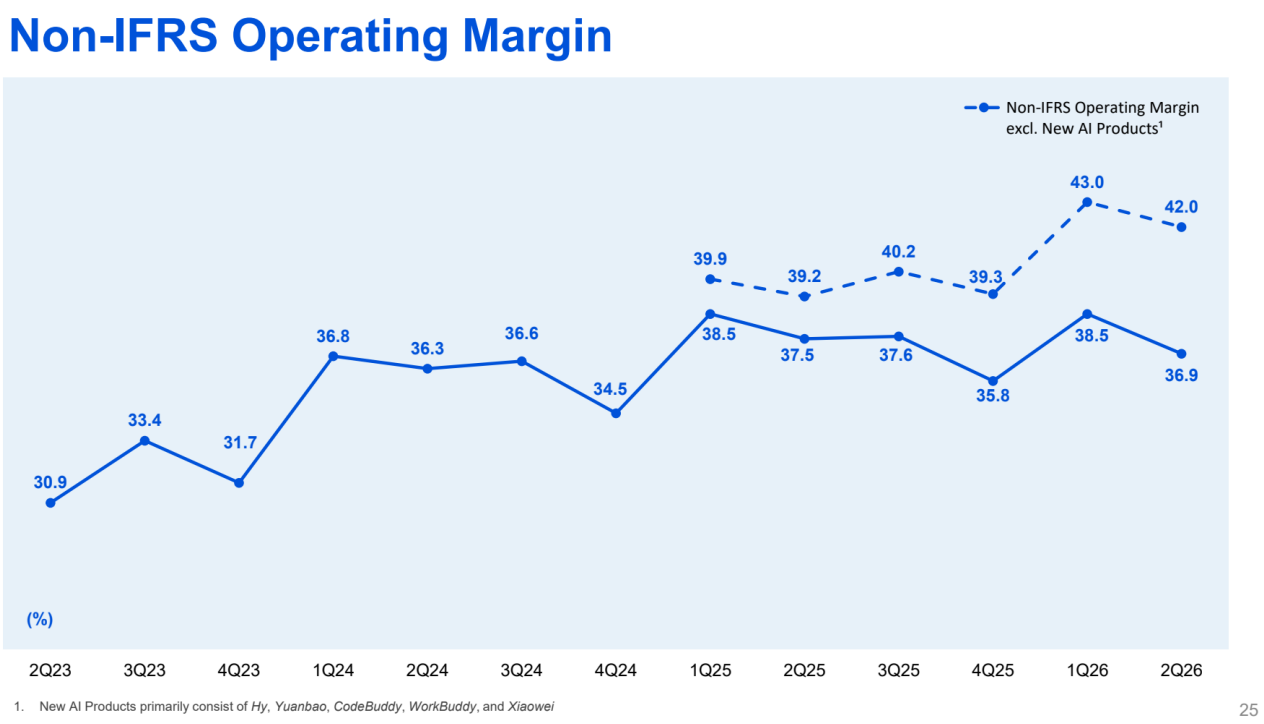
Reported marketing metric	Q2 2025	Q1 2026	Q2 2026
Revenue, RMBm	35,762	38,171	43,565
Q2 year-over-year revenue growth	-	-	22%
Q2 gross profit, RMBm	-	-	24,969
Q2 gross margin	-	-	57.31%

AIM+ adds campaign automation and improved product selection, creatives and bidding. Better recommendations and closed-loop conversion can increase advertiser willingness to pay. Video Accounts time spent rose more than 20% year over year, while management says ad load remains below industry levels. [F2,F3]

The active incremental branch applies to further realization above the reference, not the entire 22% growth rate. In-app-ad games such as Arrows are Marketing revenue; adding the same economics to international game sales would double count. Consumer demand and the durability of hit-driven advertising remain constraints. [T1]

AI cost is part of the company

The headline ex-AI margin is explanatory, not the valuation numerator



Issuer exhibit 2. Tencent Q2 2026 presentation, page 25. Dashed margins exclude new AI products; this artifact retains their costs. The source chart is non-IFRS, distinct from our IFRS-derived basis. [F3]

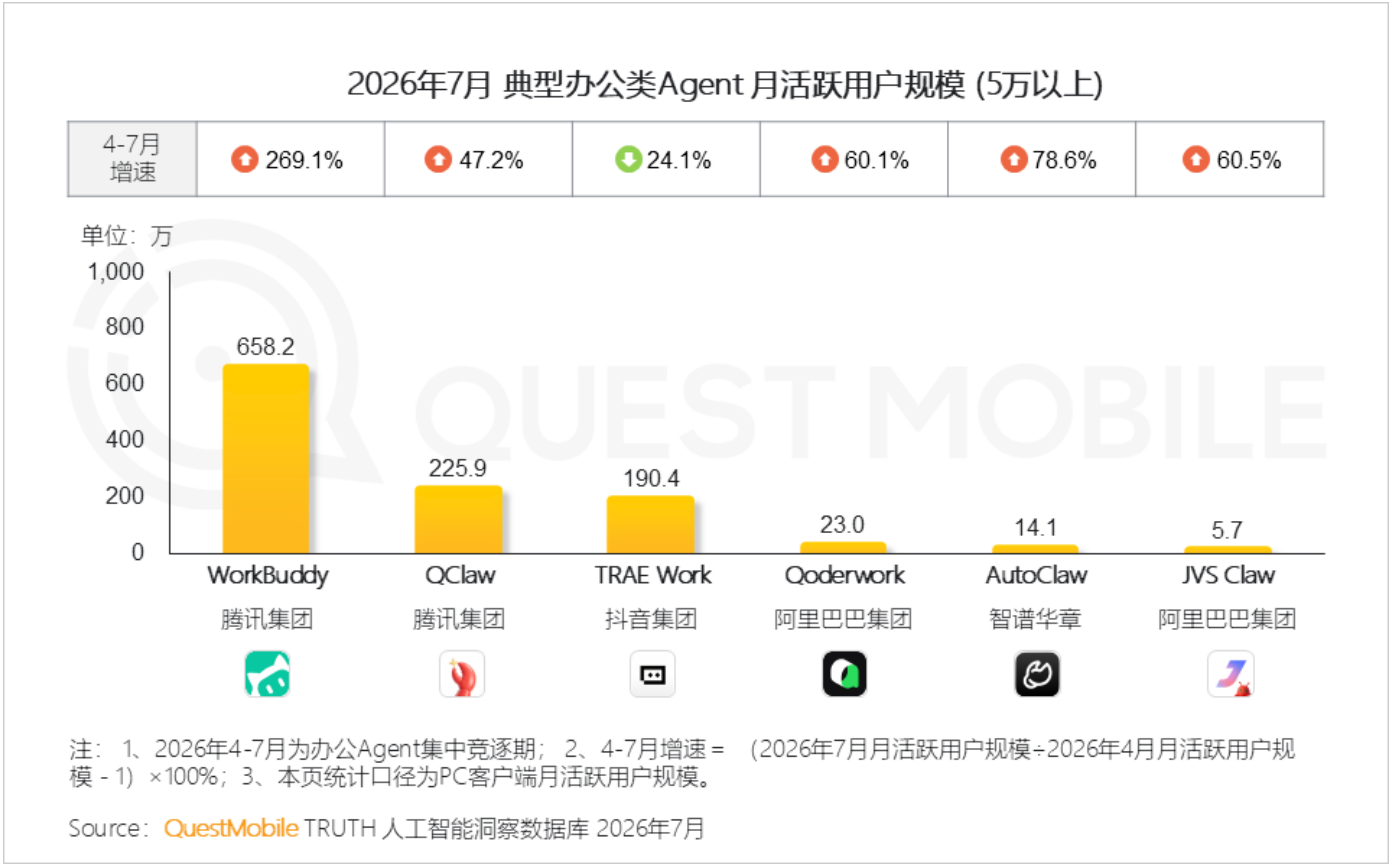
Q2 2026, RMBbn unless noted	Amount / basis
Non-IFRS OP including new AI products	75.636
Non-IFRS OP excluding new AI products	Approximately 86.1
New-AI product OP contribution	Approximately -10.5; already included in company results
IFRS operating profit	67.276; SBC and acquired amortization retained
Non-IFRS operating margin	36.9% including AI / 42.0% excluding AI

The portfolio includes Hy, Yuanbao, WorkBuddy, CodeBuddy and Xiaowei. Model training, inference, free-user subsidies and product development are economic costs. Better adoption can raise revenue while spending rises faster; the model includes an adverse-cost branch rather than assuming a guaranteed harvest date.

A greater supply of compute may help revenue and also increase depreciation, power and utilization risk. Capital expenditures, cash prepayments and reported expense measure different stages of the same investment. They must not be added together as one immediate operating loss. [F1-F3]

WorkBuddy: attributable reach, bounded capture

Original Chinese evidence | July 2026 PC clients



Source exhibit 3. QuestMobile, published September 1; July 2026 PC-client monthly users, unit 10,000. Footnote excludes other platforms. Original chart is preserved. [S1]

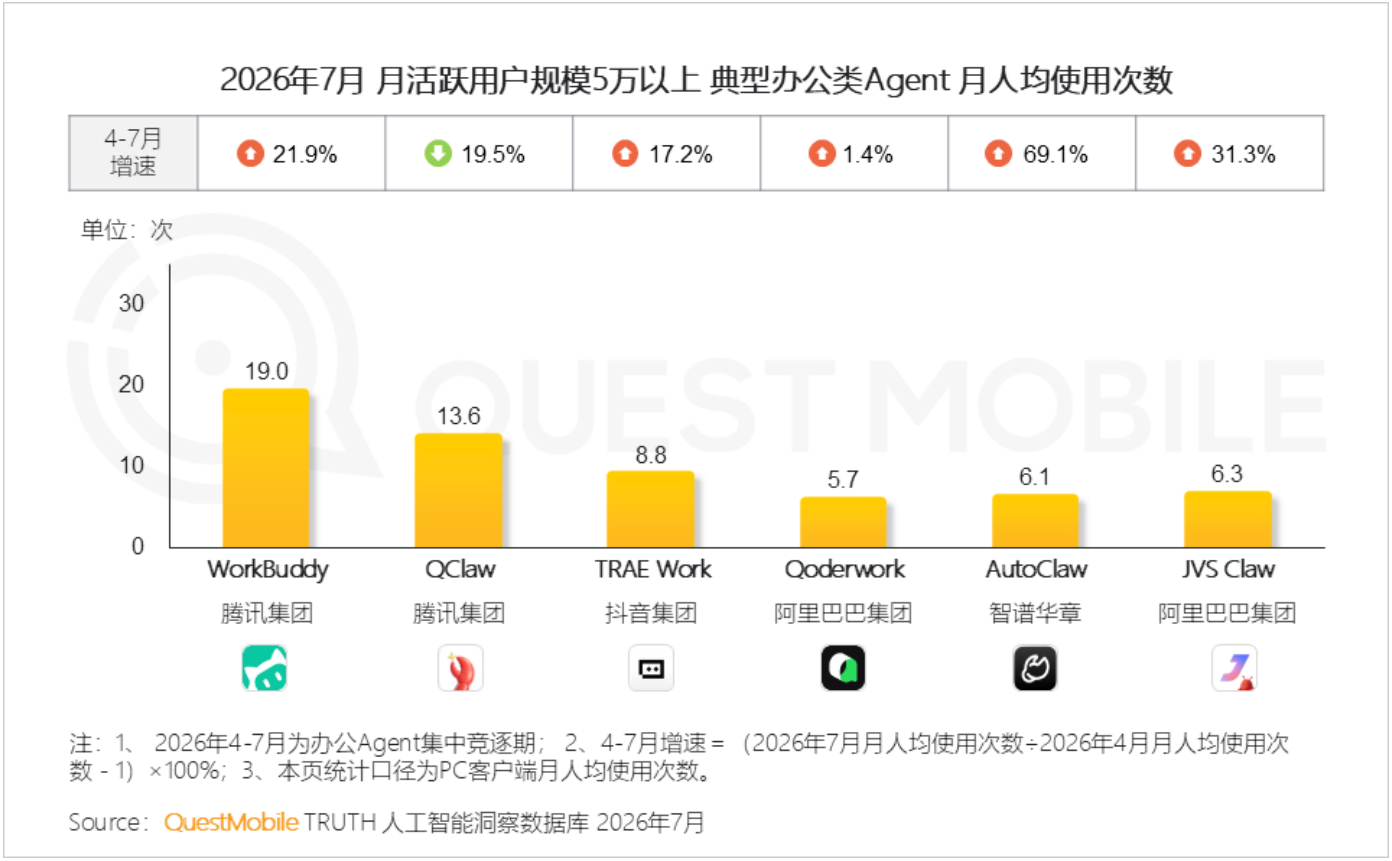
English translation	July PC MAU (millions)	April-July change
WorkBuddy / Tencent	6.582	+269.1%
QClaw / Tencent	2.259	+47.2%
TRAE Work / ByteDance	1.904	-24.1%
QoderWork / Alibaba	0.230	+60.1%
AutoClaw / Zhipu	0.141	+78.6%
JVS Claw / Alibaba	0.057	+60.5%

WorkBuddy’s measured audience supports a company-specific conversion model. These are active PC users, not paying accounts. The short-period increase is not a sustainable annual growth rate. Users of multiple Tencent products may overlap; the model uses one measured base and does not sum apps as unique people.

The issuer’s June interaction chart measures a different activity denominator and combines WorkBuddy/CodeBuddy. It is not substituted for this PC MAU base. The paid-user increment is above an explicit reference conversion already included in business-services revenue.

Engagement and the price of useful work

PC frequency supports retention; posted prices do not establish paid conversion



Source exhibit 4. QuestMobile July 2026 PC usage frequency, published September 1. English translation: WorkBuddy 19.0 uses per user per month; QClaw 13.6; TRAE Work 8.8; QoderWork 5.7; AutoClaw 6.1; JVS Claw 6.3. [S1]

Domestic Standard plan	Posted RMB amount	Model relevance
Monthly / recurring monthly	99 / 70 per month	List price versus discounted recurring price
Recurring annual	672 per year; 56 monthly equivalent	Reference for a lower realized yield
Earlier recurring subscribers	58/month through Dec 31; 70 from Jan 1	Transition prevents treating all current users as new-price subscribers
WorkBuddy + CodeBuddy	Shared account credits	One subscription; not two revenue streams

July 1 pricing introduced Standard, Advanced and Flagship plans. The model does not presume the entire audience chooses an expensive tier. Annual renewals, promotional access, tax and revenue-recognition timing lower or delay realized sales. Enterprise and top-up revenue are not independently added without separate customer and usage denominators. [S2]

The original source frequency chart measures visits, not paid credits or token volume. Engagement informs the probability of conversion; it is not multiplied by a per-visit tariff. Both paid and free users still consume inference resources.

Market expansion and the Ford principle

Current market evidence, adjacent workflows and markets that agents could create

China gaming, H1 2026	Reported market scale	Growth / scope
Domestic game sales	RMB 188.45bn	+12.17% year over year
Users	684m	+0.82%
Mobile games	RMB 135.21bn	+7.9%
PC games	RMB 45.288bn	+27.92%
Mini Games	RMB 31.657bn	+36.01%; overlaps device categories

MOFCOM's July 30 publication reports industry-association data. These are half-year market figures, not a 2030 forecast; categories are not additive. Tencent's recognized game sales and ecosystem receipts have different scope. The model calibrates to Tencent actuals rather than imposing an exact share from incompatible denominators. [S5]

Framework phase	Concrete path	Model treatment
Phase 1 / 100% heuristic	Existing games, content, advertising and financial/cloud services	Reported anchors and explicit reference growth; not certainty of future demand
Phase 2 / 50% heuristic	Paid office agents, workflow automation and richer merchant conversion	Bounded conversion/realization branches with their own probabilities
Phase 3 / 20% heuristic	Agent-to-agent transactions and outcome-based services inside Weixin	Joint platform optionality; no second user pool or blanket probability multiplier

Mini Games reaches 500m monthly players and over 100m social interactions a day, with 500,000 active developers. More than half of discovery comes from embedded Weixin features. That supports distribution economics; neither developer receipts nor player count is automatically Tencent incremental revenue. [S4]

China Data Packet: issuer/exchange data anchor revenue and margin; MOFCOM/CGIGC anchors gaming demand; QuestMobile supplies the local PC adoption denominator; official pricing anchors realization. NBS reports Jan-Aug retail +1.1% and August +0.4%, a consumption constraint rather than a direct Tencent sales forecast. [S6]

AI product advantage and competitive limits

Model capability is useful when it changes paid economics

Hy4 preview combines a larger model and long context with distribution through Tencent products and hosted APIs. Tencent reports 770bn total parameters, 49bn active parameters and a context window exceeding one million tokens. Its cited 31.8% throughput improvement is an internal infrastructure test, not a companywide operating-cost reduction. [S3]

Product pathway	Economic opportunity	Boundary
WorkBuddy / CodeBuddy	Paid tasks and hosted inference	Shared credits, third-party model costs, free-user subsidy and revenue timing
Hy hosted APIs	Token services and stronger agent quality	Open weights also allow hosting elsewhere; price needs a volume denominator
Yuanbao	Consumer utility and distribution	Reach alone does not establish direct paid subscriptions
Xiaowei inside Weixin	Transactions and personalized assistance	Prototype stage; overlaps ads, payment and cloud economics
Existing recommendation / games	Better conversion, content and development productivity	Current effects already belong in reference margins/growth

The original Hy4 announcement offered a two-week free preview; Hy3 free access through WorkBuddy/CodeBuddy was extended through September 30. Trial expiry can improve paid realization and also reduce use. Current API prices are a competitive signal, not proof of future token revenue. [S3]

Why competitors can still capture value

Alibaba’s DingTalk workflows and ByteDance’s content/work tools offer different distribution advantages. Users can switch models within a harness, deploy open models or choose a competing workspace. Tencent must convert its social and collaboration assets into trusted, useful actions; the network alone does not make every AI app a monopoly.

A single joint commercialization branch captures attributable agent economics. Hy4 performance, shared credits, Xiaowei reach and cloud tokens are not separately added as overlapping revenue prizes.

Reported financials and the accounting bridge

RMB millions | Calendar and fiscal quarters are identical

Quarter	Revenue	Gross profit	R&D	S&M	G&A ex R&D	Other gains / losses	IFRS OP	Non-IFRS OP
2025Q1	180,022	100,493	18,910	7,866	14,754	-1,397	57,566	69,320
2025Q2	184,504	105,013	20,251	9,410	11,670	-3,578	60,104	69,248
2025Q3	192,869	108,798	22,822	11,468	11,437	483	63,554	72,570
2025Q4	194,371	108,289	23,764	12,983	12,519	1,315	60,338	69,518
2026Q1	196,458	111,265	22,542	11,343	11,258	1,253	67,375	75,627
2026Q2	204,785	118,433	27,278	11,869	11,530	-480	67,276	75,636

Sources F1-F8. Q4 2025 R&D is annual 85,747 less nine-month 61,983 = 23,764. R&D is reported within functional spending; the model splits it from G&A for presentation. Subtracting full G&A plus R&D again would overstate cost. Q1 2025 includes a RMB 4.0bn unusual SBC comparison that is not recurring efficiency.

Q2 2026 operating-profit reconciliation	RMBm	Treatment
Reported gross profit	118,433	Reported
Less R&D / S&M / G&A excluding R&D	27,278 / 11,869 / 11,530	Retain all three without double counting
Ordinary OP before other operating items	67,756	Calibration subtotal; not reported IFRS OP
Other operating losses	-480	Actual retained; future ordinary other gains/losses assumed zero
Reported IFRS operating profit	67,276	Historical actual
Issuer non-IFRS add-backs	6,579 SBC + 1,602 amortization + 179 donations	Explanatory only; not removed from forecast costs
Issuer non-IFRS operating profit	75,636	Not the valuation basis

Equity-settled SBC of 5,596 differs from the 6,579 total non-IFRS adjustment because of other incentive arrangements. Group net income is 57,977, including 1,955 attributable to non-controlling interests; parent net income is 56,022. Investment/associate income, interest and tax do not replace the selected OP numerator. The method is not parent P/E.

Base score and distinct risks

Quality and probability of business outcomes; no price or upside multiplier

Component	Points	Rationale
Core thesis	16 / 20	Weixin distribution and evergreen games support network effects; Tencent is not an exclusive AI chokepoint.
Cycle stage	7 / 10	Mature franchises fund early agent and cloud investment; monetization is uneven across products.
TAM expansion	7 / 10	Paid workflows and closed-loop ads enlarge capture; willingness to pay and cannibalization constrain it.
Catalysts	4 / 5	Hy4, trial renewals, compute availability and game recognition create 6-18 month tests.
Macro	6 / 10	Weak consumer growth, regulatory constraints and compute supply offset domestic AI adoption.
Alpha	2 / 5	Cohort and shared-credit economics differentiate the work, but Tencent is widely followed.
Risks	-5	Five separate risk classes below require a five-point deduction.

Total = 16 + 7 + 7 + 4 + 6 + 2 - 5 = 37 / 60; rounded Base = 62. This is below the 65-point threshold, in the Fail band. Business classification remains beneficiary. Base does not multiply the forecast or ceiling a second time.

Distinct risk class	Mechanism
Competition / substitution	ByteDance attention and AI, Alibaba workflows, other models and clouds compress capture.
Execution / retention	Hit-driven games, paid conversion, recognition lags and advertiser returns can disappoint.
AI investment / supply	Training, inference, capex, utilization and depreciation can outrun monetization.
PRC / VIE / regulation	Data, content, payments, gaming approvals, cross-border ownership and compute restrictions affect operations.
Capital / minority complexity	Investments, NCI, debt, commitments and changing buybacks weaken per-share predictability.

Reference model calibration

Growth and margins are explicit proxies, distinct from management direction

Reference revenue vector	H2 2026 YoY	2027	2028	2029	2030	Anchor and rationale
Domestic games	15%	12%	9%	8%	7%	Same-quarter prior year; mature franchises and delayed bookings recognition.
International games	5%	10%	10%	8%	7%	Same-quarter prior year; overseas releases and a more normal comparison.
Social networks/content	2%	3%	3%	3%	3%	Membership/content growth stays below AI or advertising narratives.
Marketing services	20%	18%	15%	12%	10%	Current targeting, inventory and in-app-ad games already included.
Fintech and business services	10%	12%	13%	12%	10%	Includes payments, finance and cloud; not a standalone cloud forecast.
Other operations	20%	15%	12%	10%	8%	Small loss-making operations; no assumption that losses vanish.

Gross-margin vector	June 2026 calibration	Forward rule
Domestic games	72.00%; estimate	72.0% in 2026; +0.5pp annually through 2029; 73.5% thereafter
International games	60.00%; estimate	Held at 60.0%
Social networks	54.45%; residual estimate	Held at calibration; VAS total GP reconciles to reported 62,926
Marketing	57.31%; reported segment	Held at current margin; B1 has separate incremental economics
FTBS	52.12%; reported segment	51.0% in 2026/27, 51.5% in 2028, 52.0% in 2029, 52.5% in 2030
Others	-35.08%; reported segment	Negative margin retained; not reset to zero

No numeric consolidated revenue/OP forward guide was supplied. H2 2026 uses prior-year seasonal product amounts; subsequent quarters use same-quarter reference values. Domestic/international rounded sales are proportionally reconciled to exact game/VAS totals where necessary. This adds model precision, not undisclosed reporting precision.

R&D rises 10%, 16%, 20%, 25%, 30% and 35% above June over the next six quarters, then grows 12%/10%/8% by same quarter in 2028/29/30. S&M = June S&M x (reference revenue / June revenue)^0.9 x historical calendar-seasonality factor. G&A excluding R&D grows 5% annually. These preserve ongoing AI costs; all are assumptions, with later periods LOW confidence.

Explicit probabilistic breadcrumb ledger

Favorable and adverse evidence change the operating model before certainty

B1 | Further advertising yield | 55% probability

Reference Marketing growth already includes current AI targeting, inventory and Arrows. Conditional incremental revenue = reference Marketing revenue x 30% eligible inventory x 10% extra yield x a six-quarter ramp. Active revenue applies 55% once. Incremental economics: 65% GP less 5% R&D, 7% S&M and 3% G&A = 50% OP. Eligibility, yield, timing and margin are analytical proxies. [F3,T1,T2]

Specific conversion technology, closed-loop data and low ad load justify more than a generic AI story. Uneven consumption and hit-driven ads constrain conviction. No extra impressions or duplicate game revenue are added. Raise the weight on durable conversion/eCPM gains; lower it on weak advertiser returns or temporary growth.

B2 | Paid PC-agent conversion | 35% probability

A 3% paid-conversion reference is implicitly inside aggregate FTBS growth. Conditional conversion rises to 8%, so only five percentage points are incremental. Start with July WorkBuddy PC MAU of 6.582m; modeled users grow 40% annually through 2027, then 25%/20%/15%. Multiply incremental paid users by RMB 56 monthly realization in 2026 or 63 from 2027, three months, a six-quarter ramp and a 75% first-year recognition factor. Active revenue applies 35% once. [S1,S2,T1]

The 63 realization blends 56 annual-plan equivalent and 70 recurring-monthly price; it is not a reported ARPU. The cost bridge uses 35% GP less 5% R&D, 10% S&M and 5% G&A = 15% OP. One shared WorkBuddy/CodeBuddy subscription, no 1.439bn-user multiplier, no second API/top-up prize. Raise the weight with paid cohort retention; lower it with churn or costly inference.

B3 | Additional AI cost pressure | 30% probability

All existing AI cost stays in the reference. Conditional extra loss = RMB 10,500m current AI contribution x 25% additional burden x the reference R&D factor x a three-quarter ramp. Active loss applies 30% once: 30% of that loss enters FTBS gross cost and 70% R&D. This is a cost-allocation proxy, not reported segment expense. [F1-F3,T1]

The 8.8bn-to-10.5bn loss progression and large commitments support a cost-overrun possibility. No second full 10.5bn subtraction, capex-as-expense addition or automatic cost saving occurs. Lower the weight as paid economics improve; raise it on commissioning, utilization or training-cost misses.

Branches can share demand and infrastructure risks. The expected contribution bridge does not assert independence or multiply probabilities together. None of these probabilities is an issuer forecast, nor an additional multiplier on Base.

Numerical breadcrumb contributions

All quarters modeled | Conditional precedes probability | RMB millions

Quarter	B1 conditional revenue	B1 active revenue	B2 conditional revenue	B2 active revenue	B3 conditional cost	B3 active cost	Net active OP
Q3 2026	217.5	119.6	6.9	2.4	962.5	288.8	-228.6
Q4 2026	493.4	271.4	15.0	5.3	2,030.0	609.0	-472.5
Q1 2027	675.6	371.6	36.8	12.9	3,150.0	945.0	-757.3
Q2 2027	1,028.1	565.5	53.4	18.7	3,281.2	984.4	-698.8
Q3 2027	1,283.0	705.6	72.6	25.4	3,412.5	1,023.8	-667.1
Q4 2027	1,746.6	960.6	94.7	33.2	3,543.8	1,063.1	-577.8
Q1 2028	1,553.9	854.7	100.2	35.1	3,528.0	1,058.4	-625.8
Q2 2028	1,773.5	975.4	105.9	37.1	3,675.0	1,102.5	-609.2
Q3 2028	1,770.5	973.8	112.0	39.2	3,822.0	1,146.6	-653.8
Q4 2028	2,008.6	1,104.7	118.4	41.4	3,969.0	1,190.7	-632.1
Q1 2029	1,740.4	957.2	123.9	43.4	3,880.8	1,164.2	-679.1
Q2 2029	1,986.4	1,092.5	129.7	45.4	4,042.5	1,212.8	-659.7
Q3 2029	1,983.0	1,090.6	135.8	47.5	4,204.2	1,261.3	-708.8
Q4 2029	2,249.6	1,237.3	142.1	49.7	4,365.9	1,309.8	-683.7
Q1 2030	1,914.5	1,053.0	147.1	51.5	4,191.3	1,257.4	-723.2
Q2 2030	2,185.0	1,201.7	152.4	53.3	4,365.9	1,309.8	-700.9
Q3 2030	2,181.2	1,199.7	157.8	55.2	4,540.5	1,362.2	-754.0
Q4 2030	2,474.6	1,361.0	163.4	57.2	4,715.2	1,414.6	-725.5

Q3 2027-Q2 2028 OP bridge	Reference OP	B1 +OP	B2 +OP	B3 -OP	Active OP
RMB millions	305,100.87	1,748.19	19.60	4,247.77	302,620.89

Active OP = reference OP + 50% x B1 active revenue + 15% x B2 active revenue - B3 active cost. PC adoption is credible but currently too small to change the group ceiling much under this bounded bridge. The adverse cost contribution is larger than the favorable additions.

Source dates: B1 May/August 2026; B2 July observation and pricing, September 1 publication; B3 August cost disclosure. Controls flow through the linked model’s reference product revenue, GP, R&D, S&M and G&A to the quarterly ceiling. Affected workbook coordinates are supplied in the custody note.

Main operating driver: funding the AI build

Our model | Revenue and gross profit must keep up with the R&D envelope

Operating scale versus research investment

Index: June 2026 = 100

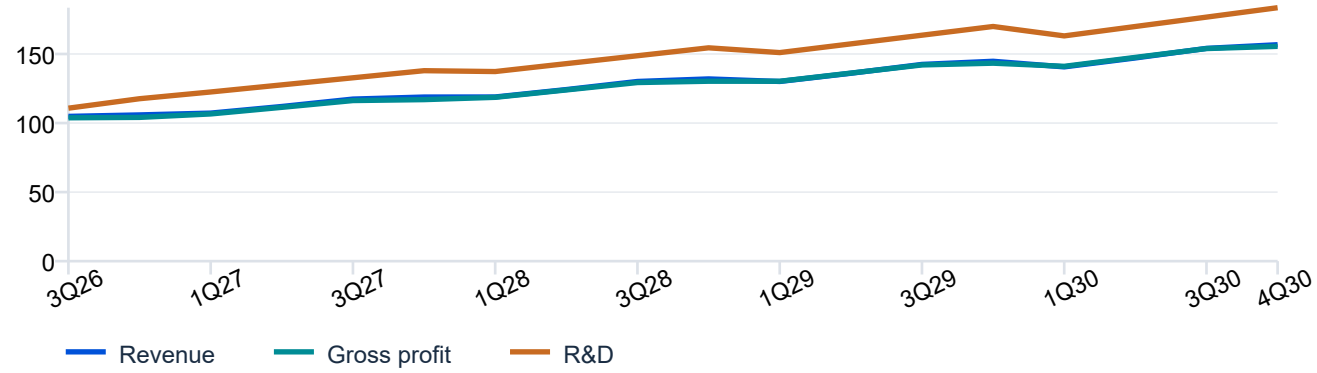


Figure 5. Our operating-driver comparison. R&D includes the adverse AI-cost branch; current new-AI losses are not removed. Both axes and the table are derived from the same operating model.

Quarter	Revenue index	GP index	R&D index	R&D, RMBbn	OP margin
Q3 2026	104.8	103.8	110.8	30.21	31.0%
Q4 2026	105.9	104.1	117.6	32.08	29.0%
Q1 2027	107.2	106.6	122.5	33.41	31.9%
Q2 2027	112.0	111.4	127.6	34.82	31.3%
Q3 2027	117.4	116.3	132.8	36.21	30.5%
Q4 2027	118.8	116.9	137.9	37.62	28.9%
Q1 2028	118.9	118.6	137.3	37.45	32.3%
Q2 2028	124.2	124.0	143.0	39.01	31.7%
Q3 2028	130.1	129.3	148.7	40.57	30.8%
Q4 2028	132.0	130.3	154.5	42.14	29.3%
Q1 2029	130.1	130.2	151.0	41.19	32.6%
Q2 2029	136.0	136.2	157.3	42.91	32.1%
Q3 2029	142.5	142.1	163.6	44.63	31.2%
Q4 2029	144.7	143.3	169.9	46.35	29.7%
Q1 2030	140.7	141.1	163.1	44.49	32.9%
Q2 2030	147.1	147.5	169.9	46.35	32.4%
Q3 2030	154.1	153.9	176.7	48.20	31.5%
Q4 2030	156.7	155.5	183.5	50.06	30.0%

This is the main operating tension: monetization can rise while the investment envelope keeps near-term margin below the reported June level. Indexing illustrates relative growth; it does not compare the absolute size of revenue and expense.

Revenue growth and changing mix

Our model | Six distinct vectors reconcile to consolidated revenue

Quarterly revenue mix

RMB billions

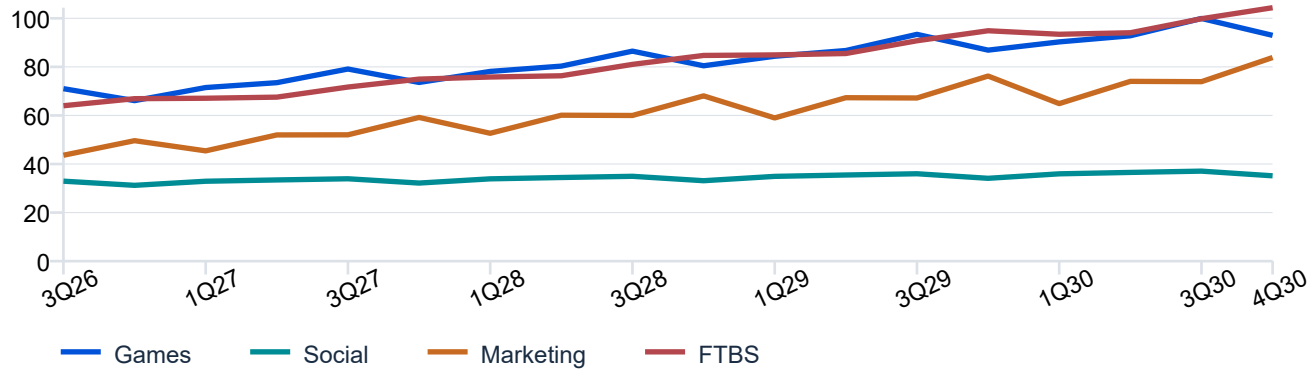


Figure 6. Our revenue forecast. FTBS includes financial and business services, not only cloud. Small Other revenue is included in the numerical reconciliation below.

Quarter	Games	Social	Marketing	FTBS	Other	Total
Q3 2026	71.03	32.93	43.61	63.99	3.11	214.68
Q4 2026	66.10	31.22	49.61	66.91	3.02	216.85
Q1 2027	71.49	32.90	45.41	67.08	2.64	219.53
Q2 2027	73.49	33.44	51.97	67.54	2.90	229.34
Q3 2027	79.12	33.92	52.02	71.70	3.58	240.34
Q4 2027	73.59	32.16	59.18	74.96	3.47	243.36
Q1 2028	78.13	33.89	52.65	75.83	2.95	243.45
Q2 2028	80.31	34.44	60.09	76.34	3.25	254.43
Q3 2028	86.48	34.94	59.99	81.03	4.01	266.44
Q4 2028	80.46	33.12	68.06	84.71	3.89	270.23
Q1 2029	84.38	34.91	58.97	84.93	3.25	266.43
Q2 2029	86.74	35.47	67.30	85.50	3.57	278.58
Q3 2029	93.40	35.99	67.19	90.75	4.41	291.73
Q4 2029	86.89	34.11	76.22	94.88	4.28	296.39
Q1 2030	90.29	35.96	64.87	93.43	3.51	288.04
Q2 2030	92.81	36.54	74.03	94.05	3.86	301.29
Q3 2030	99.93	37.07	73.91	99.83	4.76	315.50
Q4 2030	92.97	35.14	83.85	104.37	4.62	320.95

RMB billions. Current-quarter business strength, ordinary growth and existing monetization belong in the reference. Only B1/B2 add revenue. All forecast rows are Model status; none is a reported result or numeric issuer guide.

Operating profit and margin

Our model | Current economic costs remain in the earnings base

Quarterly IFRS-derived operating profit

RMB billions

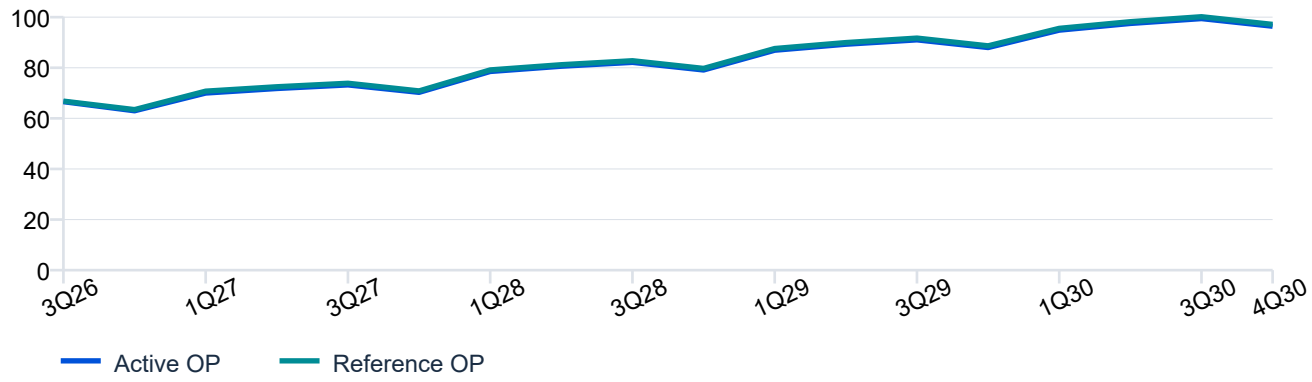


Figure 7. Our operating-profit forecast, retaining SBC, acquired amortization, depreciation and AI costs. Other operating gains/losses are assumed zero prospectively.

Quarter	Gross profit	GM	Active OP	OP margin	Reference OP
Q3 2026	122.91	57.3%	66.59	31.0%	66.82
Q4 2026	123.26	56.8%	62.99	29.0%	63.46
Q1 2027	126.22	57.5%	70.00	31.9%	70.76
Q2 2027	131.89	57.5%	71.80	31.3%	72.49
Q3 2027	137.70	57.3%	73.21	30.5%	73.88
Q4 2027	138.49	56.9%	70.28	28.9%	70.86
Q1 2028	140.47	57.7%	78.53	32.3%	79.15
Q2 2028	146.81	57.7%	80.60	31.7%	81.21
Q3 2028	153.15	57.5%	82.13	30.8%	82.78
Q4 2028	154.27	57.1%	79.12	29.3%	79.75
Q1 2029	154.25	57.9%	86.93	32.6%	87.61
Q2 2029	161.28	57.9%	89.30	32.1%	89.96
Q3 2029	168.24	57.7%	91.02	31.2%	91.73
Q4 2029	169.75	57.3%	87.99	29.7%	88.68
Q1 2030	167.08	58.0%	94.86	32.9%	95.58
Q2 2030	174.74	58.0%	97.51	32.4%	98.21
Q3 2030	182.29	57.8%	99.43	31.5%	100.18
Q4 2030	184.18	57.4%	96.42	30.0%	97.14

RMB billions for profit. Revenue x OP margin reproduces OP. The near-term R&D build limits operating leverage; later improvement assumes revenue outgrows G&A and the R&D growth rate moderates. There is no promised standalone AI break-even date.

Quarterly revenue by product vector

RMB millions | All values modeled | Independent vectors and drivers

Quarter	Domestic games	Intl. games	Social	Marketing	FTBS	Other	Total revenue
Q3 2026	49,199	21,831	32,932	43,610	63,994	3,112	214,678
Q4 2026	43,940	22,160	31,219	49,611	66,905	3,020	216,855
Q1 2027	50,819	20,668	32,904	45,413	67,084	2,636	219,526
Q2 2027	53,017	20,476	33,437	51,972	67,539	2,898	229,339
Q3 2027	55,103	24,014	33,920	52,024	71,696	3,578	240,336
Q4 2027	49,213	24,376	32,156	59,181	74,961	3,473	243,359
Q1 2028	55,393	22,735	33,892	52,653	75,826	2,952	243,450
Q2 2028	57,789	22,523	34,440	60,093	76,335	3,246	254,426
Q3 2028	60,063	26,415	34,938	59,990	81,027	4,008	266,441
Q4 2028	53,642	26,814	33,120	68,058	84,710	3,890	270,233
Q1 2029	59,825	24,554	34,908	58,971	84,929	3,247	266,434
Q2 2029	62,412	24,325	35,473	67,304	85,499	3,570	278,584
Q3 2029	64,868	28,529	35,986	67,189	90,754	4,409	291,733
Q4 2029	57,933	28,959	34,114	76,225	94,878	4,279	296,388
Q1 2030	64,012	26,273	35,956	64,868	93,425	3,507	288,041
Q2 2030	66,780	26,028	36,537	74,035	94,052	3,856	301,289
Q3 2030	69,408	30,526	37,066	73,908	99,832	4,761	315,501
Q4 2030	61,988	30,986	35,137	83,847	104,369	4,622	320,949

Domestic/international games begin from rounded reported categories reconciled to exact aggregate sales; historical subvector precision is an allocation. Social, Marketing, FTBS and Others retain their reporting scope. B1 changes Marketing; B2 changes FTBS; no duplicated gaming or separate all-cloud uplift appears.

Different business drivers matter: franchise retention and bookings govern games, membership/content governs Social, impressions and yield govern Marketing, and a mix of payment activity, financial products and enterprise capacity governs FTBS. Other operations remain separately visible despite their smaller scale.

Quarterly gross profit by product vector

RMB millions | Product estimates reconcile to total GP

Quarter	Domestic games	Intl. games	Social	Marketing	FTBS	Other	Total GP
Q3 2026	35,424	13,099	17,931	25,004	32,550	-1,092	122,915
Q4 2026	31,637	13,296	16,998	28,455	33,938	-1,060	123,264
Q1 2027	36,844	12,401	17,915	26,057	33,927	-925	126,220
Q2 2027	38,437	12,286	18,205	29,831	34,147	-1,017	131,889
Q3 2027	39,950	14,408	18,468	29,872	36,254	-1,255	137,697
Q4 2027	35,679	14,626	17,508	33,993	37,906	-1,218	138,493
Q1 2028	40,437	13,641	18,453	30,243	38,727	-1,036	140,466
Q2 2028	42,186	13,514	18,751	34,517	38,976	-1,139	146,805
Q3 2028	43,846	15,849	19,022	34,458	41,378	-1,406	153,148
Q4 2028	39,158	16,088	18,033	39,092	43,262	-1,365	154,268
Q1 2029	43,971	14,732	19,006	33,872	43,806	-1,139	154,250
Q2 2029	45,873	14,595	19,314	38,659	44,088	-1,252	161,276
Q3 2029	47,678	17,117	19,593	38,593	46,805	-1,546	168,240
Q4 2029	42,581	17,375	18,574	43,783	48,935	-1,501	169,747
Q1 2030	47,049	15,764	19,577	37,260	48,662	-1,230	167,081
Q2 2030	49,084	15,617	19,893	42,525	48,975	-1,353	174,741
Q3 2030	51,015	18,315	20,181	42,452	51,993	-1,670	182,287
Q4 2030	45,561	18,591	19,131	48,161	54,359	-1,621	184,183

Reference product GP = reference revenue x its own GM. Domestic, international and Social GM are estimated allocations calibrated to the reported VAS segment. The other three segments begin from disclosed segment margins. Active Marketing GP adds 65% of B1 revenue. Active FTBS GP adds 35% of B2 revenue and subtracts 30% of B3 cost.

Assigning the B3 gross-cost component to FTBS is a low-confidence model allocation because the issuer does not report where each new-AI cost sits. The group OP bridge is not changed by that allocation. Negative Other GP is retained and not concealed within a blended group margin.

Complete quarterly operating model

Eighteen forecast rows | Calendar equals fiscal quarter | RMB millions

Quarter	Revenue	GP	R&D	S&M	G&A ex R&D	Operating profit	OP margin	Diluted shares, m
Q3 2026	214,678	122,915	30,214	14,439	11,675	66,587	31.0%	9,153.371
Q4 2026	216,855	123,264	32,083	16,367	11,823	62,991	29.0%	9,164.791
Q1 2027	219,526	126,220	33,414	10,835	11,972	69,999	31.9%	9,176.226
Q2 2027	229,339	131,889	34,816	13,154	12,124	71,795	31.3%	9,187.674
Q3 2027	240,336	137,697	36,215	15,990	12,278	73,215	30.5%	9,199.138
Q4 2027	243,359	138,493	37,619	18,160	12,436	70,277	28.9%	9,210.615
Q1 2028	243,450	140,466	37,447	11,905	12,585	78,528	32.3%	9,222.107
Q2 2028	254,426	146,805	39,012	14,450	12,743	80,601	31.7%	9,233.613
Q3 2028	266,441	153,148	40,570	17,548	12,899	82,131	30.8%	9,245.133
Q4 2028	270,233	154,268	42,135	19,957	13,061	79,115	29.3%	9,256.668
Q1 2029	266,434	154,250	41,193	12,914	13,216	86,926	32.6%	9,268.217
Q2 2029	278,584	161,276	42,914	15,680	13,382	89,299	32.1%	9,279.781
Q3 2029	291,733	168,240	44,628	19,041	13,546	91,024	31.2%	9,291.359
Q4 2029	296,388	169,747	46,350	21,688	13,717	87,992	29.7%	9,302.951
Q1 2030	288,041	167,081	44,489	13,854	13,879	94,858	32.9%	9,314.558
Q2 2030	301,289	174,741	46,348	16,827	14,054	97,512	32.4%	9,326.180
Q3 2030	315,501	182,287	48,200	20,433	14,226	99,428	31.5%	9,337.816
Q4 2030	320,949	184,183	50,059	23,300	14,405	96,419	30.0%	9,349.466

OP = GP - R&D - S&M - G&A excluding R&D. Ordinary depreciation, SBC and acquired amortization stay within these costs. A zero separate amortization presentation field does not mean amortization is excluded. The model uses no recurring other-gain plug to finance margins.

Diluted share anchor = 9,153m reported Q2 diluted weighted shares + 0.370754m net issued-share change through September 30 = 9,153.370754m. Shares at quarter Q = anchor x 1.005^((elapsed quarters - 1)/4). This dated-components proxy is not a reported September diluted weighted count; uncertainty is tested separately.

Annual cross-checks and sensitivity

Annual totals sum the quarterly model | Sensitivities keep the 20x method fixed

Year / coverage	Revenue	Gross profit	R&D	S&M	G&A	Operating profit	OP margin
2026 / H2 only	431,533	246,179	62,297	30,806	23,498	129,577	30.0%
2027 / full year	932,560	534,299	142,064	58,139	48,809	285,286	30.6%
2028 / full year	1,034,550	594,687	159,164	63,860	51,288	320,375	31.0%
2029 / full year	1,133,139	653,512	175,085	69,324	53,862	355,242	31.4%
2030 / full year	1,225,780	708,292	189,097	74,414	56,563	388,218	31.7%

2026 is forecast H2 only; it is not a full-year revenue estimate. The model spans Q3 2026 through Q4 2030 so each of the first fifteen quarters has exactly four operating quarters underneath its ceiling. Later-period figures are lower-confidence structural scenarios.

Q3 2027 diagnostic	HKD / ordinary	Q3 2027 diagnostic	HKD / ordinary
Active case	766.45	Operating margin -2 percentage points	716.73
No incremental branches	772.73	Operating margin +2 percentage points	816.17
Advertising yield probability 0%	762.02	Diluted shares +5%	729.95
Advertising yield probability 100%	770.07	RMB/HKD +5% (weaker RMB)	729.95
PC conversion probability 0%	766.40	RMB/HKD -5% (stronger RMB)	806.79
PC conversion probability 100%	766.54	PC conversion increment halved	766.42
Extra AI cost probability 0%	777.21	PC conversion increment doubled	766.50
Extra AI cost probability 100%	741.34	Reference operating costs +10%	701.28

The small PC sensitivity is a feature of a measured denominator, not a reason to inflate conversion. Margin, costs and share/FX assumptions are much more material. The control removes all three incremental branches together; each probability sensitivity changes one branch while holding the other two active.

Quarterly ceilings and uncertainty

Our model | HKD per ordinary share | Active and control use the same method

20x forward-four-quarter IFRS-derived OP

HKD / ordinary share

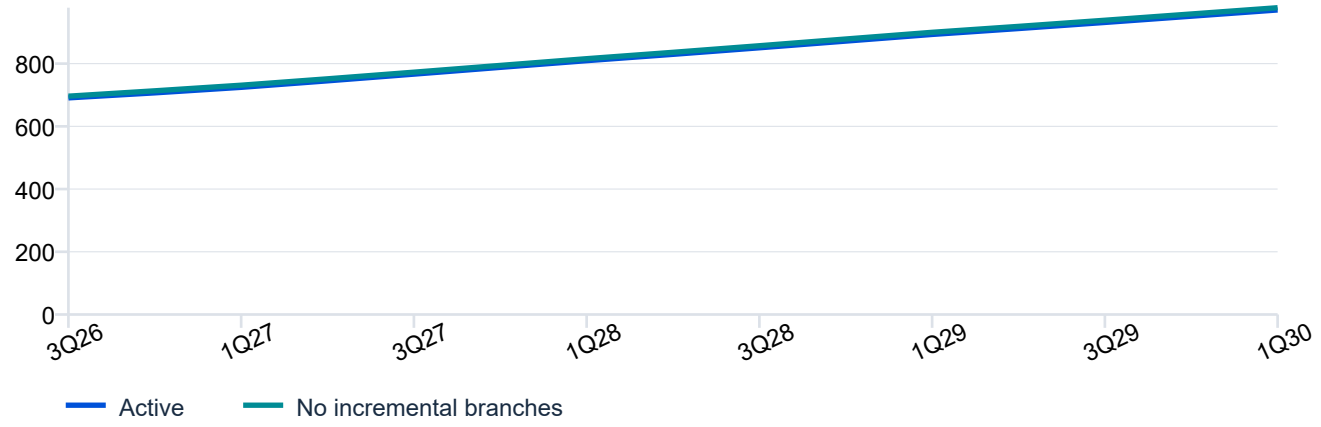


Figure 8. Our ceiling path. The control keeps the reference economics, diluted shares, FX and multiple fixed while removing favorable and adverse increments together.

Ceiling quarter	Active ceiling	Control ceiling	Confidence
Q3 2026	690.74	696.23	MEDIUM
Q4 2026	706.73	713.33	MEDIUM
Q1 2027	724.35	731.21	MEDIUM
Q2 2027	745.07	751.59	MEDIUM
Q3 2027	766.45	772.73	MEDIUM
Q4 2027	788.04	794.28	MEDIUM
Q1 2028	809.39	815.76	LOW
Q2 2028	829.57	836.07	LOW
Q3 2028	850.46	857.08	LOW
Q4 2028	871.79	878.53	LOW
Q1 2029	893.01	899.88	LOW
Q2 2029	911.82	918.78	LOW
Q3 2029	931.27	938.34	LOW
Q4 2029	951.16	958.33	LOW
Q1 2030	971.05	978.32	LOW

The ceiling is a probabilistic operating-model result, not a promised trading level or imported analyst target. The 12-16 month interval is the most decision-useful part of the forecast; reliability declines further out as game cycles, paid adoption, investment and capital choices compound.

All fifteen exact ceiling derivations

20x OP, not P/E, EBITDA, EV or investment sum-of-parts

Ceiling quarter	Four OP inputs (RMBm) and window	Forward 4Q OP	Shares, millions	RMB / HKD	HKD / ordinary
Q3 2026	66,586.8 + 62,990.5 + 69,999.1 + 71,795.1 | Q3 2026 - Q2 2027	271,371.61	9,153.371	0.85842	690.74
Q4 2026	62,990.5 + 69,999.1 + 71,795.1 + 73,214.8 | Q4 2026 - Q3 2027	277,999.55	9,164.791	0.85842	706.73
Q1 2027	69,999.1 + 71,795.1 + 73,214.8 + 70,277.3 | Q1 2027 - Q4 2027	285,286.28	9,176.226	0.85842	724.35
Q2 2027	71,795.1 + 73,214.8 + 70,277.3 + 78,528.0 | Q2 2027 - Q1 2028	293,815.17	9,187.674	0.85842	745.07
Q3 2027	73,214.8 + 70,277.3 + 78,528.0 + 80,600.8 | Q3 2027 - Q2 2028	302,620.89	9,199.138	0.85842	766.45
Q4 2027	70,277.3 + 78,528.0 + 80,600.8 + 82,130.8 | Q4 2027 - Q3 2028	311,536.87	9,210.615	0.85842	788.04
Q1 2028	78,528.0 + 80,600.8 + 82,130.8 + 79,115.4 | Q1 2028 - Q4 2028	320,375.01	9,222.107	0.85842	809.39
Q2 2028	80,600.8 + 82,130.8 + 79,115.4 + 86,926.4 | Q2 2028 - Q1 2029	328,773.43	9,233.613	0.85842	829.57
Q3 2028	82,130.8 + 79,115.4 + 86,926.4 + 89,299.5 | Q3 2028 - Q2 2029	337,472.05	9,245.133	0.85842	850.46
Q4 2028	79,115.4 + 86,926.4 + 89,299.5 + 91,023.8 | Q4 2028 - Q3 2029	346,365.06	9,256.668	0.85842	871.79
Q1 2029	86,926.4 + 89,299.5 + 91,023.8 + 87,992.4 | Q1 2029 - Q4 2029	355,242.03	9,268.217	0.85842	893.01
Q2 2029	89,299.5 + 91,023.8 + 87,992.4 + 94,858.4 | Q2 2029 - Q1 2030	363,174.03	9,279.781	0.85842	911.82
Q3 2029	91,023.8 + 87,992.4 + 94,858.4 + 97,512.2 | Q3 2029 - Q2 2030	371,386.76	9,291.359	0.85842	931.27
Q4 2029	87,992.4 + 94,858.4 + 97,512.2 + 99,428.3 | Q4 2029 - Q3 2030	379,791.30	9,302.951	0.85842	951.16
Q1 2030	94,858.4 + 97,512.2 + 99,428.3 + 96,419.2 | Q1 2030 - Q4 2030	388,218.12	9,314.558	0.85842	971.05

Ceiling = sum(OP in Q through Q+3) x 20 / diluted ordinary shares at Q / RMB per HKD. Calendar and fiscal quarters coincide. 0700 is a Hong Kong ordinary share, so no ADS conversion applies; currency is converted exactly once.

Active exact chain: 302,620.885241 x 20 / 9,199.137608 / 0.85842 = HK$ 766.446685. The fixed September 30 central parity translates the model; it is not a forecast of future FX. [S7]

Cash, debt, investment value, associate earnings, minority claims, interest and tax are not additional adjustments to this OP convention. Those limits are disclosed in the capital discussion. Once published, the company valuation basis and multiple remain locked unless Tom explicitly changes them.

Workbook custody: TENCENT_Q_Model output A7:N25; ceiling range M8:M22 and active M12. Probability controls B29/F29/J29 feed B1 A157:J174, B2 A181:M198 and B3 A205:J222; active economics A229:I246. Ledgers occupy rows 400-429 and actuals A253:R258. The active ceiling links to Master Portfolio row 131 and Quarterly Ceilings row 134. New Base is 62; existing portfolio Bases and methods remain protected.

Capital, dilution and economic limits

Reported June 30 balance sheet; September 30 share return | RMB millions unless noted

Item	Amount and interpretation
Broad cash	511,154 = cash 206,930 + term/treasury assets 304,224
Borrowings / notes	298,942 / 154,021; total 452,963 excluding leases
Issuer net cash / leases	58,191 net cash; leases 18,865 shown separately
Minority and investment scope	NCI equity 86,660; portfolio carrying value 903,068 is not an automatic per-share addition
Investment valuation bases	Listed fair value 487,200 and unlisted carrying value 387,900 have different scope from portfolio book value; do not sum all three
Investment prepayments / commitments	Noncurrent prepayments 81,116; capital commitments 92,729; service/infrastructure/content commitments 280,147; possible overlap
Q2 cash investment	Accrual capex 52,784; cash capex about 59,300; cash FCF about -13,800
FCF excluding compute prepayments	About 37,600; explains timing but does not erase funding needs
Q2 shareholder payments	Cash dividends about 41,600; repurchases about 14,700
September 30 issued shares	9,092,605,595; zero treasury; 1,381,000 repurchased shares pending cancellation

June issued notes are already in debt: US$ 1.75bn at 5.0% due 2036, US$ 0.7bn at 5.6% due 2046, RMB 11bn at 2.5% due 2036 and RMB 4bn at 3.1% due 2056. Adding their face values again would double count. Capital commitments are future spending obligations, not automatically current borrowings. [F1]

The 9,153m reported diluted weighted-share anchor includes 128m incremental employee awards/options over 9,025m basic. The daily issued-share return is not a new diluted weighted count, and June trust holdings are not refreshed there. A 0.5% annual net-dilution reserve avoids assuming an unearned buyback tailwind; +5% shares is tested. [F1,F9]

No invented September cash roll-forward, guaranteed compute resale proceeds or unquantified July associate-disposal uplift is included. The operating-profit method does not fully price debt, NCI or investment assets; capital structure and governance therefore remain distinct risk inputs.

What changes the model next

6-18 month checkpoints and cross-book relationships

Test	Evidence that raises confidence	Counter / model response
Next two earnings releases	Advertising realization improves beyond ordinary inventory growth	Exclude temporary in-app-ad-game spikes; lower branch on weak advertiser returns
Late 2026 / early 2027 capacity	Supply converts into paid external workloads and recognized revenue	Delay revenue ramp if capacity or recognition lags cash receipts
Paid WorkBuddy cohorts	Retention, recurring payment and stable serving margins	Lower conversion probability on churn, promotions or shared-credit cannibalization
New-AI cost each quarter	Incremental gross profit begins covering a disciplined cost base	Increase adverse-cost weight if investment grows without monetization
Game releases / bookings	Retained players and bookings translate to recognized sales	Revise franchise/timing inputs on weak retention, approvals or release delays
Capital and share count	Cash generation funds the build without unexpected dilution	Replace net-share proxy if buybacks fall or employee issuance rises

Existing-universe relationships

BABA and Tencent compete for Chinese enterprise and agent workloads; their demand is not two exclusive claims on the same customer. META, GOOGL and other advertising platforms face a related question of AI-driven targeting versus incremental model cost. MSFT and AMZN participate in paid enterprise AI and infrastructure. NBIS, NVDA, AMD and memory/networking suppliers can benefit from compute demand without receiving a new Tencent contract in this research.

What would invalidate the thesis

Weak paid conversion despite rising use, persistent investment without commercial return, loss of advertiser or gaming share, changes to platform/VIE or financial-services regulation, and capital allocation that weakens per-share economics would require lower probabilities or forecasts. No single benchmark rank or free-user surge overrides these tests.

The operating-profit method and company multiple are locked after publication. Future evidence updates operating assumptions, shares or risk; it does not silently replace the method with an ex-AI profit, investment sum-of-parts or net-income target.

Sources: issuer reports and calls

Primary numerical evidence; management transcription scope identified

F1 | Tencent Interim Report 2026 | 2026-08-25
https://www.tencent.com/wp-content/uploads/2026/08/E700_IR.pdf

F2 | Tencent 2026 Second Quarter Results release | 2026-08-12
https://www.tencent.com/wp-content/uploads/2026/08/Tencent-Announces-2026-Second-Quarter-Results.pdf

F3 | Tencent 2Q2026 Results Presentation | 2026-08-12
https://static.www.tencent.com/website-2026-upload/2Q26-earnings-PPT_20260812_1800-88b183.pdf

F4 | Tencent March 2026 quarterly results announcement | 2026-05-13
https://static.www.tencent.com/uploads/2026/05/13/59cf8219adbb046153f69387479350ac.pdf

F5 | Tencent 1Q2026 Results Presentation | 2026-05-13
https://static.www.tencent.com/uploads/2026/05/13/e048dfed72bc718f7986a83f23c8e294.pdf

F6 | Tencent 2025 annual and fourth-quarter results announcement | 2026-03-18
https://static.www.tencent.com/uploads/2026/03/18/f78591955e05a6db4e31e128bdaefefa.pdf

F7 | Tencent September 2025 quarterly results announcement | 2025-11-13
https://static.www.tencent.com/uploads/2025/11/13/e63656944030f90a5e4c8f1718d8bdd6.pdf

F8 | Tencent Annual Report 2025 | 2026-04-09
https://static.www.tencent.com/uploads/2026/04/09/62d786fcf3d3c8cb7e54791ee95439ac.pdf

F9 | Tencent Next Day Disclosure Return September 30 2026 | 2026-09-30
https://www.tencent.com/wp-content/uploads/2026/09/e_Next-Day-Disclosure-Return_20260930.pdf

F10 | Tencent Q2 2026 earnings call official replay | 2026-08-12
https://webcast.tencent.com/fj2pa6

F11 | Tencent Q1 2026 earnings call official replay | 2026-05-13
https://webcast.tencent.com/pd2s55

T1 | Q2 2026 full management call transcript mirror | 2026-08-12
https://tickertrends.io/transcripts/0700.HK/Q2-earnings-transcript-2026

T2 | Q1 2026 full management call transcript mirror | 2026-05-13
https://tickertrends.io/transcripts/0700.HK/Q1-earnings-transcript-2026

F10/F11 are the original webcast replay endpoints. T1/T2 are complete public transcriptions read for management discussion, not issuer-reviewed text; financial figures and conflicting transcription values were checked against reports and slides.

Sources: adoption, pricing and market evidence

Original Chinese evidence and contemporary product facts

S1 | QuestMobile September 1 report; July 2026 PC adoption and usage
https://www.questmobile.com.cn/research/report/2094686886299705346/

S2 | Official WorkBuddy domestic pricing; effective July 1, 2026
https://www.workbuddy.cn/docs/workbuddy/Pricing

S3 | Tencent Hy4 preview and open-source release; August 28, 2026
https://www.tencent.com/tencent-releases-and-open-sources-tencent-hy4-preview/

S4 | Tencent Weixin Mini Games ecosystem; August 20, 2026
https://www.tencent.com/how-weixin-mini-games-bring-people-together/

S5 | MOFCOM / industry-association H1 China gaming data; July 30, 2026
https://tradeinservices.mofcom.gov.cn/article/yjgd/hyyj/202607/200425.html

S6 | NBS August and Jan-Aug retail data; September 15, 2026
https://www.stats.gov.cn/sj/zxfb/202609/t20260915_1965311.html

S7 | SAFE September 30 RMB central parity; fixed translation input
https://www.safe.gov.cn/AppStructured/hlw/RMBQuery.do?COLLCC=546877760

S8 | Tencent HK quote; September 30, 2026, 16:08 HKT snapshot
https://stockanalysis.com/quote/hkg/0700/

Scope and custody

Four source exhibits are preserved beside the assumptions they support, with English translations of the Chinese charts. Four model charts have numeric tables directly below. No generated illustration is presented as an issuer exhibit. The synchronized Markdown embeds images so they travel with the artifact.

The local source archive retains original reports, presentations, source HTML and transcript mirrors. The model contains 18 operating rows, 15 complete ceiling windows, six revenue/GP vectors, three explicit probability branches, annual checks, sources and sensitivities. The master workbook receives the same saved model; publication validates the affected new row and necessary ranking dependencies.

Source credibility informs probability rather than converting forecasts into certainty. Unknown paid conversion, product margins, future R&D and net dilution are explicitly estimated; they are not filled by broker targets. Framework 8.0 was read before research, and this is a current-state full artifact rather than an appended partial review.